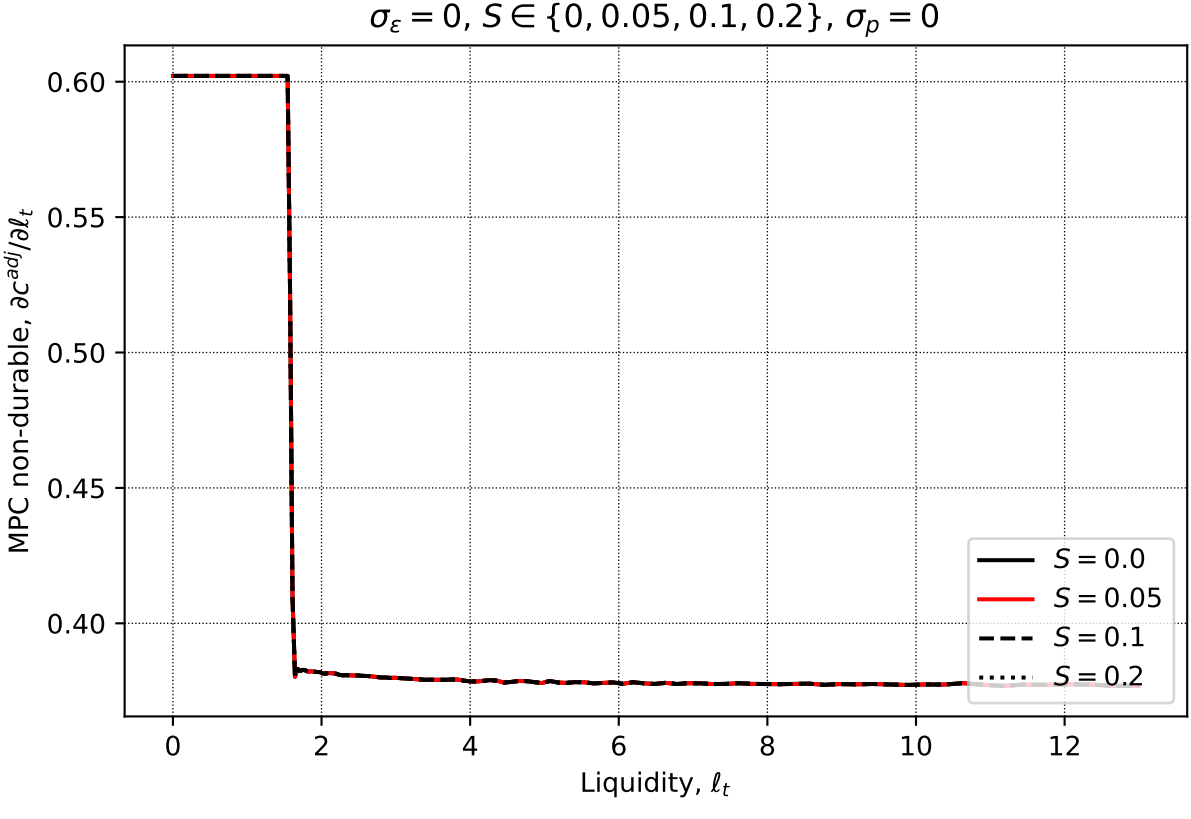
$\sigma_\varepsilon = 0$, $S \in \{0, 0.05, 0.1, 0.2\}$, $\sigma_p = 0$
MPC non-durable, $\partial c^{adj}/\partial \ell_t$
0.60
0.55
0.50
0.45
0.40
0
2
4
6
8
10
12
Liquidity, ℓ_t
$S = 0.0$
$S = 0.05$
$S = 0.1$
$S = 0.2$